HRAveba

Save Tax. Keep More.

# Health reimbursement arrangements for public employees in the Northwest

*Presented by*

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Insurance | Risk Management | Consulting

# What is an HRA?

# HRA

## Health Reimbursement Arrangement

- "Account-based" group health plan
- Funded by employer
- Tax-free money for future medical care costs
- Often called "VEBA"
  - Assets held in a voluntary employees' beneficiary association (VEBA) trust

# Tax Advantage

## "Win-win" for employees and employers

# Key Benefits

## You…

…pay no tax *(federal income or FICA)*

…can use your account anytime
*(after becoming claims eligible)*

…choose your investments

…do not have to be covered under a high-deductible health plan *(HDHP)*

# Key Benefits

## Your…

**…unused balance carries over**
*(no annual "use-it-or-lose-it" or carryover limitations)*

**…account can transfer to your spouse, children, beneficiaries, or other eligible survivors if you pass away**

# Getting Money In
(contributions)

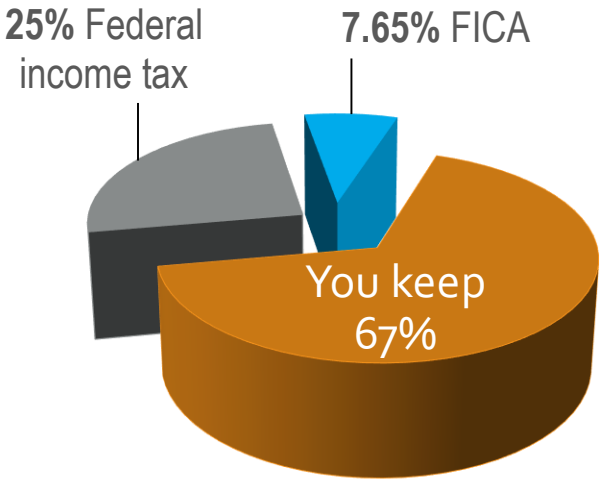
## Common funding sources

- Leave cash outs *(sick leave, vacation, personal, other)*
- Mandatory employee contributions
- Future COLAs; pay increases
- Unused benefit dollars
- Wellness incentives

No individual choice; all employee group members defined as eligible must participate per IRS rules.

# Save Tax.
# Keep More.

## *WITHOUT* HRA VEBA:




## *WITH* HRA VEBA:

Tax-free – *better than tax-deferred.*

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# Investment Options

## Which option is right for you?

**Are you comfortable making your own investment decisions?**

NO

**Option A:**
Choose a pre-mix

- Pre-mixed portfolios
- Professionally managed

YES

**Option B:**
Do-it-yourself

- Individual asset classes
- Build your own portfolio

# Getting Money Out
(claims)

## Who's covered?

- You
- Spouse
- Qualified dependent(s)

## Expenses

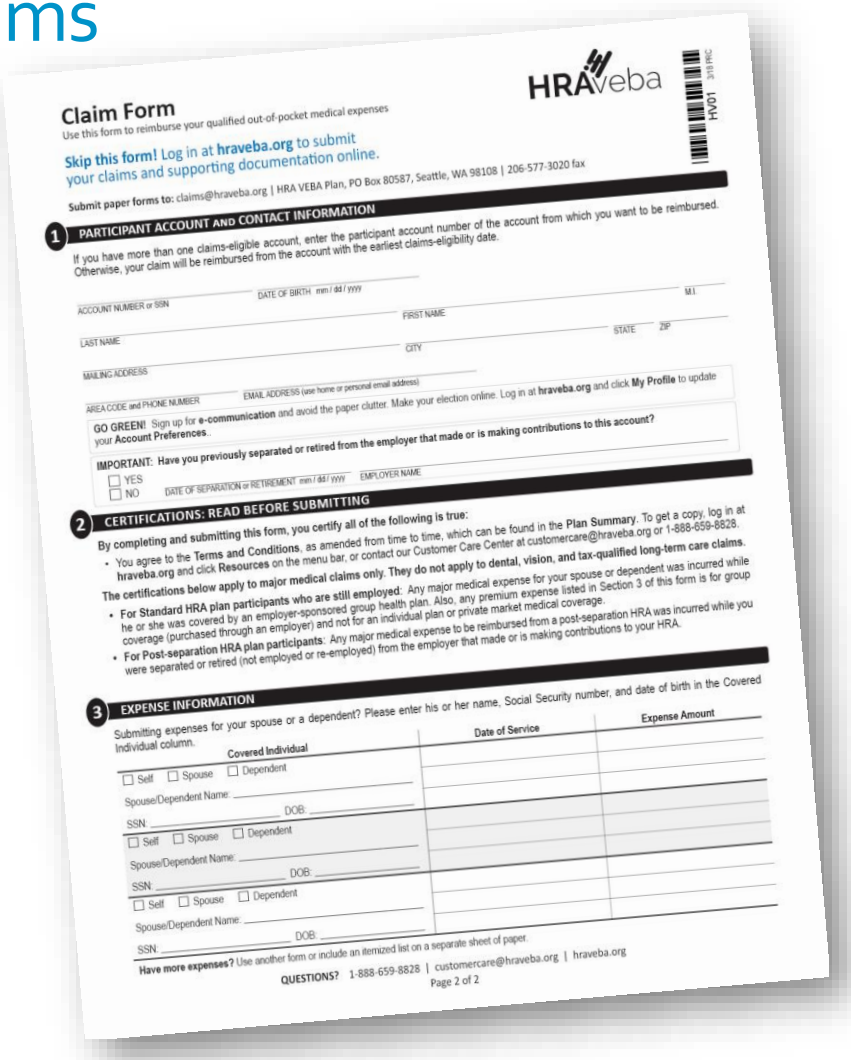
- Deductibles
- Copays
- Prescriptions

## Premiums

- Medical, dental, vision
- Long-term care
- Medicare plans

NOTE: Premiums deducted pre-tax by an employer through a Section 125 cafeteria plan are not eligible for reimbursement.

# Submitting Claims



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## Claim Form

Use this form to reimburse your qualified out-of-pocket medical expenses

**Skip this form!** Log in at **hraveba.org** to submit your claims and supporting documentation online.

**Submit paper forms to:** claims@hraveba.org | HRA VEBA Plan, PO Box 80587, Seattle, WA 98108 | 206-577-3020 fax

**1 PARTICIPANT ACCOUNT AND CONTACT INFORMATION**

If you have more than one claims-eligible account, enter the participant account number of the account from which you want to be reimbursed. Otherwise, your claim will be reimbursed from the account with the earliest claims-eligibility date.

ACCOUNT NUMBER or SSN | DATE OF BIRTH mm / dd / yyyy | FIRST NAME | M.I.

LAST NAME | CITY | STATE | ZIP

MAILING ADDRESS

AREA CODE and PHONE NUMBER | EMAIL ADDRESS (use home or personal email address)

**GO GREEN!** Sign up for **e-communication** and avoid the paper clutter. Make your election online. Log in at **hraveba.org** and click **My Profile** to update your **Account Preferences**.

**IMPORTANT: Have you previously separated or retired from the employer that made or is making contributions to this account?**

☐ YES
☐ NO | DATE OF SEPARATION or RETIREMENT mm / dd / yyyy | EMPLOYER NAME

**2 CERTIFICATIONS: READ BEFORE SUBMITTING**

**By completing and submitting this form, you certify all of the following is true:**

- You agree to the **Terms and Conditions**, as amended from time to time, which can be found in the **Plan Summary**. To get a copy, log in at **hraveba.org** and click **Resources** on the menu bar, or contact our Customer Care Center at customercare@hraveba.org or 1-888-659-8828.

**The certifications below apply to major medical claims only. They do not apply to dental, vision, and tax-qualified long-term care claims.**

- **For Standard HRA plan participants who are still employed**: Any major medical expense for your spouse or dependent was incurred while he or she was covered by an employer-sponsored group health plan. Also, any premium expense listed in Section 3 of this form is for group coverage (purchased through an employer) and not for an individual plan or private market medical coverage.
- **For Post-separation HRA plan participants**: Any major medical expense to be reimbursed from a post-separation HRA was incurred while you were separated or retired (not employed or re-employed) from the employer that made or is making contributions to your HRA.

**3 EXPENSE INFORMATION**

Submitting expenses for your spouse or a dependent? Please enter his or her name, Social Security number, and date of birth in the Covered Individual column.

| Covered Individual | Date of Service | Expense Amount |
|---|---|---|
| ☐ Self ☐ Spouse ☐ Dependent<br>Spouse/Dependent Name:<br>SSN: DOB: | | |
| ☐ Self ☐ Spouse ☐ Dependent<br>Spouse/Dependent Name:<br>SSN: DOB: | | |
| ☐ Self ☐ Spouse ☐ Dependent<br>Spouse/Dependent Name:<br>SSN: DOB: | | |

**Have more expenses?** Use another form or include an itemized list on a separate sheet of paper.

**QUESTIONS?** 1-888-659-8828 | customercare@hraveba.org | hraveba.org

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## Submission:

- Online
- HRAgo® mobile app
- Paper form
  *(mail, fax, or email)*

**Read How to File a Claim available online after logging in at hraveba.org**

**Direct deposit available and recommended**

**Five to seven business days to process**

# Automatic Premium Reimbursements

## Provides reimbursement to participants for qualified premiums

- Set up automatic premium reimbursement online after logging in at **hraveba.org,** or submit an **Automatic Premium Reimbursement** form
- No direct payments to insurance companies or providers

# e-Services

## Online Participant Portal

- 24-hour account access
- Online claims submission
- Direct deposit
- Sign-up when you enroll or online

## Benefits Card

- Instantly pay for medical care items and services directly from your HRA account
- Auto-substantiation of most copays and prescriptions
- Save your supporting documents

## e-Communication

- Quarterly e-statement notification; Participant News
- Claims processing notifications
- Sign-up when you enroll or online

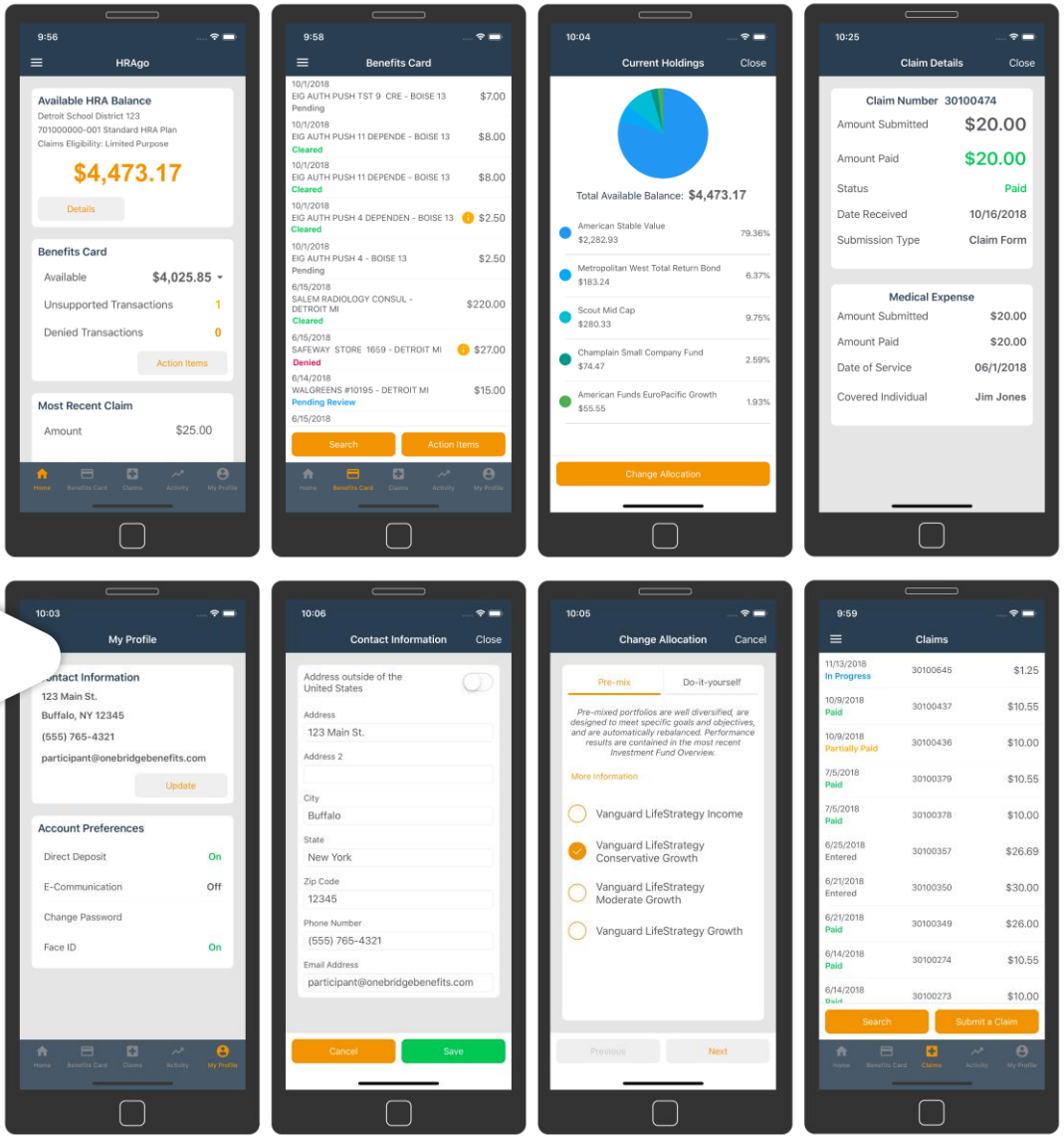
## Mobile App HRAgo®

- Submit and track your claims
- Snap pics of supporting documents and submit online
- Check your balance, view investments, update contact information

**hraveba.org**

# Mobile App

HRA go



# Customer Care Center

**1-888-659-8828**

- Located in Spokane
- Participant questions
  - Claims
  - Automatic premium reimbursements
  - Account activity
  - Address changes
  - And more

# Summary

## Use HRA VEBA to help cover your out-of-pocket medical care costs

- You **pay no tax** on contributions, earnings, or reimbursements (claims)
- You choose your **investment options**
- You can **use your account anytime** (after becoming claims eligible)
- Your **spouse and qualified dependents are covered**
- Your unused **account balance carries over**

# Questions?